

9708/M/J/2016 V13

1-C:

If a bakery produces additional 10 units of cake from “15 units” to “25 units”, this means that producing more of one will lead to less of bread being produced, which means that the output of bread will fall by 20 units from “70 units to 50 units”

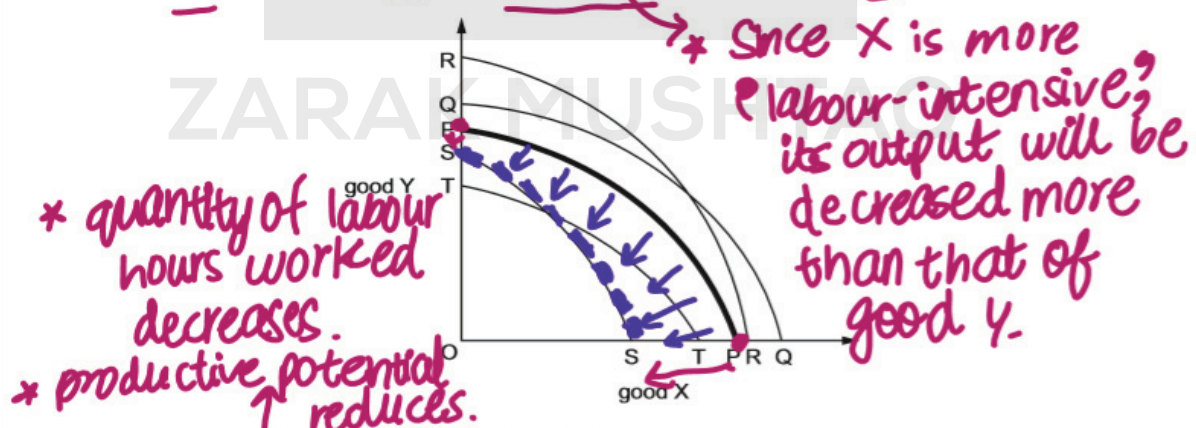
**This means that the opportunity cost of 10 units of cake will be “20 units” of bread.**

2-B:

- A- The fact that consumers are well informed means that “information failure” and information asymmetry does not exist, and this implies that government intervention is not necessary.
- B- Due to information failure, that is, lack of adequate, accurate and appropriate information merit goods, for example: health and education present, these are under-consumed and therefore undercharged, as a result of which, they are under-produced, and this under-allocation results in market failure, therefore justifying the need for government intervention.
- C- Producers being motivated to achieve profits will result in them being responsive to changes in consumer demand, which means that the need for govt intervention here is not justified.
- D- If there are many competitive firms, this represents that there is non-existence of monopoly firms, which implies that there is no need for government intervention

3-B:

- 3 The curve PP in the diagram is the production possibility curve for a country producing goods X and Y. The production of X is more labour-intensive than the production of Y.



The working hours of the labour force are reduced by law.

Which curve could be the country's new production possibility curve?

- A TT    **B SS**    C QQ    D RR

#### 4-C:

A: Public-funded education is an example of merit good as an educated population brings widespread benefits to the society. Crime rate decreases and productivity increases. This leads to a more prosperous population, a higher standard of living and for governments, higher tax revenues. **Merit goods are a part of “private goods”**

B: Public funded healthcare is an example of merit good as it generates external benefits. **Merit goods are a part of “private goods”**

C: Law enforcement is an example of **public good** as it is non-rivalrous in nature, that is, when consumption by one individual does not reduce the consumption for another individual. Moreover, they are also non-excludable as payment by one individual does not restrict others from enjoying the benefits of law enforcement, as even the non-tax payers get to consume it. This is why this becomes correct.

D: Public libraries is an example of quasi-public good. When the government directly provides it, it becomes a **quasi-public good**, as even though it is **non-excludable**, now it exhibits characteristics of **rivalry** as since the facilities are limited, when libraries become over-crowded, not everyone will be able to avail the facility.

#### 5-C:

We are interested in an option that does not change the position of the “demand curve”, this means that, it does not bring a “shift in the demand curve”

- A- A fall in the price of complementary good will increase the demand for the good since there is a negative relationship between the price of one good and demand for another in case of complements, and this results in a shift in the “demand-curve”, thus making this incorrect
- B- A range of new products entering the market, for e. g: technologically advanced products, will stimulate consumers to increase their demand, again resulting in a shift in the demand curve.
- C- A rise in the “labor costs” of production will decrease supply, or in other words, cause a leftward shift in the supply curve, which makes it correct since it does not shift the demand curve.
- D- An increase in the price of the substitute will result in an increase in the demand for the good since there is a positive relationship between the price of one good and the demand for another in case of substitutes.

6-C:

- A- Market supply will increase when not all, but most of the firms in the market, or the ones with a larger market share increase their output.
- B- This is the definition of effective demand
- C- This is correct since market supply is the “horizontal summation” of individual supply curves in a market
- D- The quantity supplied extends upon an increase in price rather than “falling prices”

7-B:

- A- If prices increase, the real incomes will decrease, and as a result the quantity demanded of “income-elastic” normal goods will fall, subsequently resulting in a fall in “Total Revenue”
- B- If the demand is price-inelastic, an increase in price will bring about a contraction in qty demanded by a relatively smaller percentage, resulting in a rise in Total Revenues, thus making this correct
- C- If the price for the complement increases, the demand for the good will fall, resulting in a fall in Total Revenues.
- D- If the price of a good increases, and alongside which, the price of the substitute product has also fallen, then demand may shift to the one who has increased prices by a smaller percentage.

8-B:

At the price of 12, the qty demanded is 4000 units, which means that the total expenditure now will be “48000”

Now, whatever the price level is, or whatsoever is the quantity, the total revenue will remain the same i.e. 48000

In-order to obtain price level at the quantity demanded of 20,000, we will divide the total revenue with qty demanded i.e. we will divide 48000 with 20,000 which will give **2.4** as the answer.

This is why, option B will be the answer

9-C:

Since the cross-elasticity of demand of good S with respect to the price of good P is +1.5, this represents that S and P are substitutes. This is represented through the positive value of XED.

Moreover, the cross-elasticity of demand of good S with respect to the price of good R is -1.5, this represents that S and R are complements. This is represented through the negative value of XED.

Additionally, the value of cross elasticity of demand of good P with respect to the price of good R is -1.5, which represents that P and R are complements, this too is represented through the negative value of XED.

A: S and P are not complementing, and also P and R are not substitutes.

B: S and P are not complements, and also, we can't say if R is an inferior good, because we would then require the relevant data of YED.

C: As stated above, S and P are substitutes and P and R are complements. This is true, thus making this correct.

D: Even though S and P are substitutes cannot be said as an inferior good because we only have information of XED.

10-B:

- A- If labor is immobile, that is, it cannot be flexibly and easily switched in between jobs and places, supply will be inelastic in response to changes in demand.
- B- Spare-capacity represents the idle capacity of a business or refers to un-utilized resources of a business, existence of which will enable a producer to respond easily to changes in demand, therefore making the supply elastic in response to changes in demand, which is why this option becomes correct.
- C- If the product is perishable, it would not be easily and conveniently stored, and dwindling stocks of finished products mean that a producer cannot respond easily to changes in demand, thus making supply inelastic to changes in demand.
- D- If unemployment is low, that is an economy is operating close to its potential, less spare resources such as labor and capital would be available, and they would not be easily acquired, additionally due to shortages, costs of acquisitions may be higher, thus making the responsiveness of a producer low in response to changes in demand.

11-C:

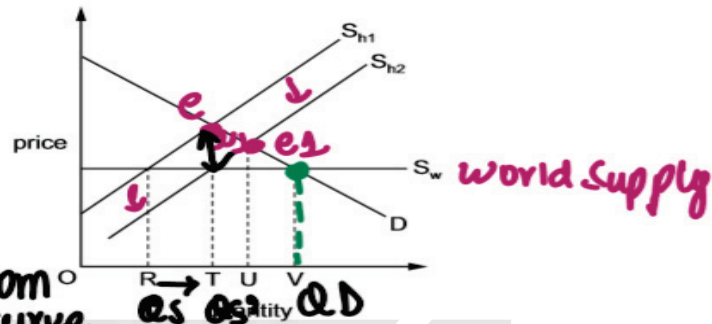
The below calculation shows that after imposition of indirect tax, the equilibrium price increases by 2 from 90 to 92, therefore C and not other option can be correct.

|                                                                                                  |                                                                                                                       |
|--------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------|
| $\begin{aligned} p - 30 &= 240 - 2p \\ p + 2p &= 240 + 30 \\ 3p &= 270 \\ p &= 90 \end{aligned}$ | $\begin{aligned} \text{after tax:} \\ p - 36 &= 240 - 2p \\ p + 2p &= 240 + 36 \\ 3p &= 276 \\ p &= 92 \end{aligned}$ |
|--------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------|

$\xrightarrow{\text{increase by } \$2}$

12-C:

- 12 The diagram shows a market for a good which is supplied partly from domestic production and partly from imports.  $S_{h1}$  shows domestic supply and  $S_w$  shows world supply. Domestic supply then shifts to  $S_{h2}$ .



Identified from the demand curve. as es? QD

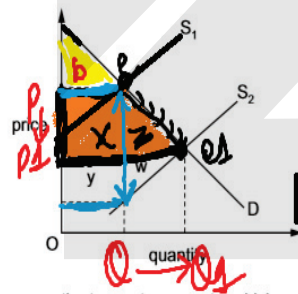
What will be the level of consumption and the associated volume of imports after the supply shift?

|   | consumption | volume of imports |
|---|-------------|-------------------|
| A | OU ✓        | TU                |
| B | OU ✓        | UV                |
| C | OV ✓        | TV ✓              |
| D | OV ✓        | UV ✓              |

\* distance of shortage  
→ Earlier = RV  
→ After supply shifts = TV

13-D:

- 13 In the diagram, D is the demand curve for Indian tea exports and  $S_1$  is the initial supply curve.



\* before tax → consumer surplus is 'b'

\* After tax → increase in consumer surplus =  $e x + z$

The Indian government removes the tax on tea exports, which causes the supply curve to shift to  $S_2$ .

Which areas in the diagram measure the resulting loss in tax revenue to the Indian government and the resulting gain in consumer surplus?

|   | loss in tax revenue | gain in consumer surplus |
|---|---------------------|--------------------------|
| A | x                   | w + y                    |
| B | x                   | y                        |
| C | x + y               | z                        |
| D | x + y ✓             | z + x ✓                  |

Tax revenue is per unit tax or  $x + y$   
Since tax is removed, equilibrium qty increases, so consumer burden + producer burden =  $x + y$

14-D:

Tax on standard rated goods take up a greater proportion of the incomes of the poor than the rich, and when these are taxed, this represents that it will put up a **higher burden on the low-income earners , making it a “regressive tax”**.

Luxury goods take up a greater proportion of incomes of the rich, and when these are taxed, this represents that put up a **higher burden on the high-income earners , making it a “progressive tax”**.

**Tax on all goods is “progressive”. This is because, food that takes up the greatest proportion of the incomes of the lower income groups is not taxed; and luxury goods that is most consumed by highest income earners has the highest percentage of tax imposed. This is why key D becomes correct.**

15:D:

We are interested in an option that results in an increase in the sales of electrical goods

- A- An increase in the rate of “income-tax” after reducing the disposable incomes of individuals in China, will result in a fall in consumption expenditure on electrical goods.
- B- Increasing the restrictions and regulations on the manufacture of electrical goods will increase costs of manufacturers, resulting in a rise in the prices of export-oriented products, as a result of which the demand from foreign markets reduces and in turn a fall in export revenues occur further.
- C- Removal of a tariff on imported goods would lead to Chinese individuals increasing their imports of electrical goods, resulting in a fall in consumption of “electrical goods” produced domestically.
- D- Subsidizing sales of electrical goods will result in a fall in costs of production and in turn a fall in the prices of export-oriented goods as well, subsequently resulting in a rise in exports and in turn export revenues increase as well.

16-C:

A transfer payment is a payment made without goods or services being received in exchange.

A – An increase in dividend payments is not a transfer payment because it represents a return on investment

B- Payment of rent is not a transfer payment since it is in exchange of “land” used

C- Unemployment benefits are provided without any expectation of contribution in output, thus making it a transfer payment

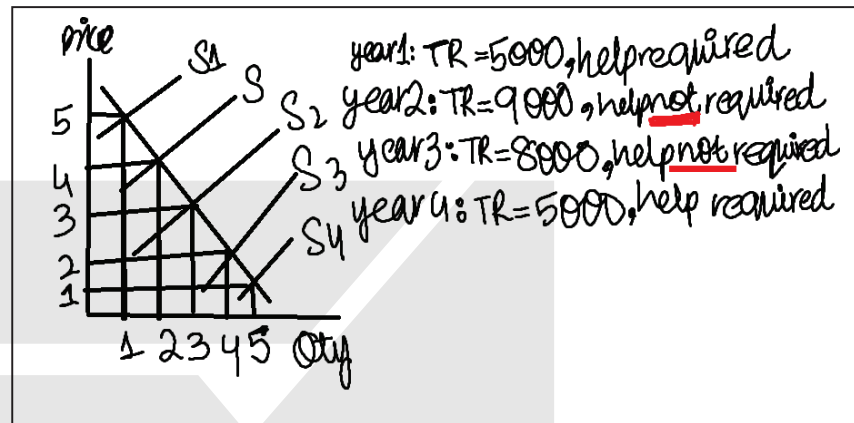
D – Wages are provided to government employees in return for their services, which means that, this does not represent “transfer payments”

17-C:

The government has promised farmers an income of 8000, if in case their Revenues are lesser than this level, it would provide help to the farmer.

c-We are interested in knowing the years in which the government would not need to provide extra income to farmers, as it can be seen on the right that in years 2 and 3 the government would not need to provide help to farmers thus making option c correct.

This is why a, b and d cannot be correct.



18-B:

- A- In general, more privatizations have been done in comparison to nationalization, which means that the private sector has gained more stocks through privatization, but since we do not have information about the **value of assets** available with both :private sector and government **before the increases in absolute terms**, we cannot comment upon this.
- B- Out of 25 years, in 18 years , more revenue has been received from privatization than nationalization, which is representative of the fact that the government gained more revenue from privatization than that spent by them on “nationalization”, thus making this correct.
- C- The first year in which nationalizations increased privatizations is “1990”
- D- The greatest annual increase in nationalizations did not occur in 2009; between 2018-2019, an increase of 18.18% has occurred. And, if we see in the years between 2006-2007, a year on year increase has occurred by 166%, thus making this incorrect

19-B:

- A- If consumers spend more, the consumption expenditure and in turn Aggregate demand would have increased
- B- If interest rates rise, savings increase and in turn consumption expenditure decreases, which results in a fall in Aggregate demand, thus making this correct.
- C- If an increase in exports has occurred, there is a likelihood of an increase in export revenues, which when increases injections into the circular flow would result in a rise in Aggregate demand
- D- The government expenditure is still occurring, representative of a higher Aggregate demand.

20-D:

- A- Aggregate demand does not always have to increase for the economy to experience inflation. Aggregate supply can decrease as well
- B- There can be demand pull inflation as well, apart from “cost-push inflation” arising from an increase in Aggregate demand
- C- A rise in interest rates represents a contractionary monetary policy , which will reduce Aggregate demand, which will reduce inflation
- D- This is correct as the real value of money or the purchasing power of money decreases in time of inflation, as dollar 1 can purchase less and less than before.

21-A:

**The value of base year is “100”**

1)First find out weights

Weight represents the proportion of income/expenditure spent on a particular commodity.

Bread:  $4/10$  i.e. 0.4

Meat: 0.3

Milk:0.2

Vegetables:0.1

2) Adjust the base years index that is 100 by percentage changes in prices to arrive at the current year's price index.

Bread:  $100 - 10 = 90$

Meat:  $100 + 20 = 120$

Milk:  $100 + 10 = 110$

Vegetables:  $100 + 10 = 110$

3)Now multiply weights with the current year's index to arrive at the weighted price index

Bread :  $0.4 * 90 = 36$

Meat:  $0.3 * 120 = 36$

Milk:  $0.2 * 110 = 22$

Vegetables:  $0.1 * 110 = 11$

Total = 105%

Now compare it with the base years index.

$105\% - 100\%$  is equal to 5% (this means that the rate of inflation is 5%)

22-C:

When the Dutch insurer sells its Life Insurance company, this means that, it will receive an **inflow of 1.65 billion, which will be recorded as a credit or a positive entry.**

**Now since, a company is being sold, this will be recorded in the foreign direct investment section of the financial account of Balance of payments** (Foreign direct investment (FDI) is an ownership stake in a foreign company or project made by an investor, company, or government from another country.)

**This is why, option C is correct**

**It won't be recorded as an investment income, since investment income is a part of primary incomes, which is a "part of current account"**

23-D:

We are interested in an option that results in a fall in the demand of the currency and a rise in supply of the currency.

A – Appreciation of the pound is an effect and not the cause

B – An increase in the incomes of the US will lead to a rise in the demand of export-oriented goods of the UK from the US, and this rise in export revenues would subsequently result in a rise in the "demand for the currency", thus making this incorrect

C- An increase in the price level or inflation in the US, will result in UK's exported goods appearing relatively competitive to the US residents and therefore the demand for exported goods would rise, and this rise in export revenues would subsequently result in a rise in the "demand for the currency", thus making this incorrect.

D – A decrease in UK interest rates would reduce the incentive to invest in the economy, as a result of which foreign investors will be discouraged, and they will call back their investment, and these hot money outflows will result in a fall in the demand of the currency. Moreover, when locals are discouraged, this will lead to them taking their money outside of the country for better returns, resulting in a rise in supply of the currency, thus making this correct.

24-B:

An increase in the value of the US dollar against the Australian dollar means that the **"US dollar has appreciated", and "Australian dollar has depreciated"**

A – This is incorrect as because of the appreciation of the US dollar, its export-oriented goods would become relatively expensive, this means that its volume of exports will contract

B- This is correct as because of appreciation, imported goods appear relatively cheaper, there is an increase in the volume of imports done by the US.

C- This is incorrect as since because of appreciation, imports appear relatively cheaper, there is an increase in the import of services(holidays) done by the US.

D - Since Australian currency has depreciated, this means that imported goods appear relatively expensive, and therefore less people from Australia will take holidays in the US.

25-A:

Terms of trade is the ratio of export prices to the ratio of import prices.

- A- If import prices fall by a higher percentage than export prices, this means that export prices will be relatively higher than the import prices, representing an improvement in the TOT
- B- If export prices decrease by a higher percentage than import prices, this means that import prices will be higher, thus leading to a worsening effect on the terms of trade.
- C- If import prices increase, but export prices decrease, this means that TOT falls.
- D- If import prices rise by a relatively higher percentage than export prices, this means that TOT falls

26-A:

26 Countries X and Y produce the world supply of computers and wheat. Each country divides its resources equally between the two products and produces the following.

|   | computers units | wheat units |
|---|-----------------|-------------|
| X | 2000            | 1400        |
| Y | 1000            | 200         |

How would total output be altered if each country specialised completely in the product in which it has a comparative advantage?

|   | computers units | wheat units |
|---|-----------------|-------------|
| A | +1000           | +1200       |
| B | -1000           | +1600       |
| C | +1000           | +400        |
| D | +1000           | +1600       |

Handwritten notes on the table:  
 X: 2000 computers, 1400 wheat  
 Y: 1000 computers, 200 wheat  
 Total: 3000 computers, 1600 wheat

Handwritten calculations:  
 C → Earlier: 3000  
 Now: 2000  
 (1000x2)  
 falls by 1000

Handwritten calculations:  
 W → Earlier: 1600  
 Now: 2800  
 (1400x2)  
 → Increases by 1200

Handwritten notes for Country X:  
 W : C  
 1400 : 2000  
 1 : 1.43

Handwritten note:  
 \* W has a lower opp. cost in wheat, which means that it should specialize in wheat

Handwritten notes for Country Y:  
 W : C  
 200 : 1000  
 1 : 5  
 Y should specialize in computers.

27:D

Increasing the quota set on imports means that there is an increase in the level of imports, that is, allowed in the country. For example: previously 100 cars could be imported, now 400 cars can be imported. This represents a reduction in the level of protectionism and a move towards freer trade.

This means that the level of international trade will rise, which makes D correct

A, B, C: Cutting a deficit, encouraging diversification, and lowering the level of domestic unemployment are all reasons of protectionism

28-A:

An expansionary supply side policy is aimed to increase the level of "Aggregate supply" of the economy.

A – An increase in govt expenditure on training increases productivity and efficiency, as a result if which there is a reduction in costs, and in turn a rise in Aggregate supply of the economy, making this correct

B – An increase in sales tax represents "contractionary fiscal policy"

C – An increase in the rate of interest represents " contractionary monetary policy"

D – Revaluation of the exchange rate represents " contractionary monetary policy"

29-B:

We are interested in "expenditure dampening policy measures"

A – Introduction of quotas represents "expenditure switching policy"

B \_ Raising income taxes will reduce disposable income, and in turn reduce the consumption expenditure on imported goods , making this an expenditure reducing policy, this is why, this becomes correct.

C- Subsidizing home-produced imported goods again is an example of an expenditure switching policy

D – Imposing tariffs on imported goods is an example of switching policy.

30-A:

We are interested in a combination of policies that would result in a reduction in the rate of inflation.

A - Higher direct taxes when reduce disposable incomes would reduce consumption expenditure, subsequently reducing Aggregate demand, in turn leading to inflation being controlled.

- A new fixed exchange rate above the purchasing power parity represents "appreciation" of the exchange rate. A rising exchange rate can actually lead to deflationary pressures in an economy, as imports become cheaper, leading to an extension in qty demanded of imports ,leading to a rise in import expenditures relative to export revenues which fall since export oriented goods become relatively expensive , which means that there will be a contraction in qty demanded of exports, therefore resulting in a Balance of Trade deficit, which since represents net-leakages from the circular flow ,results in a fall in Aggregate demand, bringing down a fall in general price level. This would make demand-pull inflation less likely.

